



**United Company RUSAL,
International public joint-stock company**

**Consolidated Interim Condensed Financial Statements
for the six-month period ended
30 June 2023**

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Report on Review of Consolidated Interim Condensed Financial Statements

To the Board of Directors of
International public joint-stock company
United Company RUSAL

Introduction

We have reviewed the accompanying consolidated Interim condensed financial statements of International public joint-stock company United Company RUSAL and its subsidiaries (the "Group"), which comprise the consolidated interim condensed statement of financial position as at 30 June 2023 and the related consolidated interim condensed statements of income, comprehensive income, changes in equity and cash flows for the six-month period then ended, and notes to the consolidated interim condensed financial statements (the consolidated interim condensed financial statements). The Rules Governing the Listing of Securities on the Stock Exchange of Hong Kong Limited require the preparation of a report of consolidated interim condensed financial statements to be in compliance with the relevant provisions thereof and International Accounting Standard 34 *Interim Financial Reporting* ("IAS 34"). Management of the Group is responsible for the preparation and presentation of this consolidated interim condensed financial statements in accordance with IAS 34, *Interim Financial Reporting*. Our responsibility is to express a conclusion on these consolidated interim condensed financial statements based on our review.

Scope of review

We conducted our review in accordance with International Standard on Review Engagements 2410, *Review of Interim Financial Information Performed by the Independent Auditor of the Entity*. A review of consolidated interim condensed financial statements consists of making inquiries, primarily of persons responsible for financial and accounting matters, and applying analytical and other review procedures. A review is substantially less in scope than an audit conducted in accordance with International Standards on Auditing and consequently does not enable us to obtain assurance that we would become aware of all significant matters that might be identified in an audit. Accordingly, we do not express an audit opinion.

Conclusion

Based on our review, nothing has come to our attention that causes us to believe that the accompanying consolidated interim condensed financial statements are not prepared, in all material respects, in accordance with IAS 34, *Interim Financial Reporting*.



**NEW CHALLENGES
NEW SOLUTIONS**

Emphasis of matter

We draw attention to Note 1 to the consolidated interim condensed financial statements as at 30 June 2023, which indicates that the geopolitical tensions and sanctions imposed by a range of countries, accompanied by the volatility of commodity, stock and currency markets, may significantly affect operational, investing and financing activity of the Group. As stated in Note 1, these events or conditions, along with other matters as set forth in Note 1 to the consolidated interim condensed financial statements, indicate that material uncertainty exist that may cast significant doubt about the Group's ability to continue as a going concern. Our conclusion is not modified in respect of this matter.

M.S. Khachaturian
Partner
TSATR – Audit Services Limited Liability Company

10 August 2023

Details of the auditor

Name: TSATR – Audit Services Limited Liability Company
Record made in the State Register of Legal Entities on 5 December 2002, State Registration Number 1027739707203.
Address: Russia 115035, Moscow, Sadovnicheskaya naberezhnaya, 77, building 1.
TSATR – Audit Services Limited Liability Company is a member of Self-regulatory organization of auditors Association "Sodruzhestvo". TSATR – Audit Services Limited Liability Company is included in the control copy of the register of auditors and audit organizations, main registration number 12006020327.

Details of the entity

Name: International public joint-stock company United Company RUSAL
Record made in the State Register of Legal Entities on 25 September 2020, State Registration Number 1203900011974.
Address: Russia 236006, Kalinigrad, Oktyabrskaya street, 8, office 410.

		Six months ended 30 June	
		2023 (unaudited) USD million	2022 (unaudited) USD million
	Note		
Revenue	5	5,945	7,153
Cost of sales	6(a)	(5,217)	(4,762)
Gross profit		728	2,391
Distribution expenses	6(b)	(351)	(309)
Administrative expenses	6(b)	(290)	(322)
Impairment of non-current assets	6(b)	(67)	(23)
Provision for expected credit losses	6(b), 11(a)	5	(102)
Net other operating expenses	6(b)	(58)	(103)
Results from operating activities		(33)	1,532
Finance income	7	269	206
Finance expenses	7	(270)	(740)
Share of profits of associates and joint ventures	10	303	1,366
Profit before taxation		269	2,364
Current income tax expense	8	(134)	(427)
Deffered income tax credit/(charge)	8	285	(257)
Income tax credit/(charge)		151	(684)
Profit for the period		420	1,680
Attributable to Shareholders of the Company		420	1,680
Profit for the period		420	1,680
Earnings per share			
Basic and diluted earnings per share (USD)	9	0.0276	0.1106
Adjusted EBITDA	4, 6(c)	290	1,807

	Note	Six months ended 30 June	
		2023	2022
		(unaudited) USD million	(unaudited) USD million
Profit for the period		420	1,680
Other comprehensive income or loss			
<i>Items that will never be reclassified subsequently to profit or loss</i>			
Actuarial loss on post retirement benefit plans	14	(5)	—
		(5)	—
<i>Items that are or may be reclassified subsequently to profit or loss</i>			
Change in fair value of cash flow hedges	15	—	(214)
Foreign currency translation differences on foreign subsidiaries		(537)	874
Foreign currency translation differences for equity-accounted investees	10	(910)	1,990
		(1,447)	2,650
Other comprehensive income or loss for the period, net of tax		(1,452)	2,650
Total comprehensive income or loss for the period		(1,032)	4,330
<i>Attributable to:</i>			
Shareholders of the Company		(1,032)	4,330

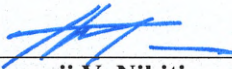
There was no significant tax effect relating to each component of other comprehensive income or loss.

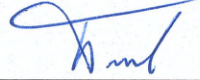


UC RUSAL, IPJSC
Consolidated Interim Condensed Statement of Financial Position

		30 June 2023 (unaudited) USD million	31 December 2022 USD million
Assets	Note		
Non-current assets			
Property, plant and equipment and investment properties		5,672	5,829
Intangible assets		2,390	2,605
Interests in associates and joint ventures	10	4,567	5,174
Deferred tax assets		182	58
Derivative financial assets	15	56	90
Investments in equity securities measured at fair value through profit or loss	11(f)	425	458
Other non-current assets	11(e)	243	302
Total non-current assets		13,535	14,516
Current assets			
Inventories		4,370	4,489
Short-term investments	11(g)	94	89
Trade and other receivables	11(a)	1,116	1,286
Prepayments and input VAT	11(b)	753	763
Current income tax receivables		13	214
Derivative financial assets	15	36	78
Dividends receivables		21	–
Cash and cash equivalents		1,487	3,196
Total current assets		7,890	10,115
Total assets		21,425	24,631
Equity and liabilities			
Equity	12		
Share capital		152	152
Share premium		15,786	15,786
Other reserves		2,679	2,682
Currency translation reserve		(10,480)	(9,033)
Retained earnings		3,140	2,720
Total equity		11,277	12,307
Non-current liabilities			
Loans and borrowings	13	6,499	6,910
Provisions	14	261	278
Deferred tax liabilities		396	427
Other non-current liabilities		117	118
Total non-current liabilities		7,273	7,733
Current liabilities			
Loans and borrowings	13	1,277	2,547
Trade and other payables	11(c)	1,088	1,439
Advances received	11(d)	135	237
Other tax payable		253	243
Dividends payable		5	–
Provisions	14	117	125
Total current liabilities		2,875	4,591
Total liabilities		10,148	12,324
Total equity and liabilities		21,425	24,631
Net current assets		5,015	5,524
Total assets less current liabilities		18,550	20,040

Preliminary reviewed, approved and authorised for issue by the board of directors on 10 August 2023.


Evgenii V. Nikitin
General Director


Alexander V. Popov
Chief Financial Officer

	Share capital	Share premium	Other reserves	Currency translation reserve	Retained earnings	Total equity
	USD million	USD million	USD million	USD million	USD million	USD million
Balance at 1 January 2023	152	15,786	2,682	(9,033)	2,720	12,307
Profit for the period (unaudited)	–	–	–	–	420	420
Other comprehensive income for the period (unaudited)	–	–	(5)	(1,447)	–	(1,452)
Total comprehensive income for the period (unaudited)	–	–	(5)	(1,447)	420	(1,032)
Contribution from a shareholder	–	–	2	–	–	2
Balance at 30 June 2023 (unaudited)	152	15,786	2,679	(10,480)	3,140	11,277
Balance at 1 January 2022	152	15,786	2,805	(9,450)	1,231	10,524
Profit for the period (unaudited)	–	–	–	–	1,680	1,680
Other comprehensive income for the period (unaudited)	–	–	(214)	2,864	–	2,650
Total comprehensive income for the period (unaudited)	–	–	(214)	2,864	1,680	4,330
Balance at 30 June 2022 (unaudited)	152	15,786	2,591	(6,586)	2,911	14,854

	Note	Six months ended 30 June	
		2023	2022
		(unaudited) USD million	(unaudited) USD million
Operating activities			
Profit for the period		420	1,680
<i>Adjustments for:</i>			
Depreciation	6	242	235
Amortisation	6	9	12
Impairment of non-current assets	6(b)	67	23
(Reversal) / accrual of provision for expected credit losses of trade and other receivables	6(b), 14	(5)	102
(Partial reversal of provision) / write-down of inventories to net realisable value		(9)	155
Pension provision		2	1
Provision for legal claims		2	–
Change in fair value of derivative financial instruments	7	40	348
Net foreign exchange (gain)/loss	7	(214)	219
Loss on disposal of property, plant and equipment	6(b)	5	5
Interest expense	7	218	176
Interest income	7	(30)	(42)
Income tax (credit)/expense	8	(151)	684
Dividends from investments measured at fair value through profit or loss	7	(25)	–
Revaluation of investments measured at fair value through profit or loss, incl. forex income	7	12	(164)
Share of profits of associates and joint ventures	10	(303)	(1,366)
Cash from operating activities before changes in working capital and provisions		280	2,068
Decrease/(increase) in inventories		156	(1,288)
Decrease/(increase) in trade and other receivables		356	(667)
Increase in prepayments and input VAT		(3)	(2)
Decrease in trade and other payables and advances received		(527)	(674)
Decrease in provisions		(8)	(4)
Cash generated/(used) from/(in) operations before income tax paid		254	(567)
Income taxes paid		(18)	(391)
Net cash generated/(used) from/(in) operating activities		236	(958)
Investing activities			
Proceeds from disposal of property, plant and equipment		5	2
Interest received		29	36
Acquisition of property, plant and equipment		(410)	(456)
Acquisition of intangible assets		(7)	(9)
Cash paid for investments in equity securities measured at fair value through profit or loss	11(f)	(5)	(88)
Cash (paid to)/received from other investments		(11)	135
Acquisition/sale of a subsidiary (net)		–	(16)
Dividends from associates and joint ventures		–	1,640
Change in restricted cash		1	–
Net cash from investing activities		(398)	1,244
Financing activities			
Proceeds from borrowings		2,828	1,255
Repayment of borrowings		(4,106)	(1,666)
Interest paid		(242)	(179)
Payment of restructuring and other expenses		(21)	(6)
Received from shareholder		2	–
Settlement of derivative financial instruments		96	(379)
Net cash used in financing activities		(1,443)	(975)
Net decrease in cash and cash equivalents		(1,605)	(689)
Cash and cash equivalents at the beginning of the period		3,193	1,982
Effect of exchange rate changes on cash and cash equivalents		(103)	136
Cash and cash equivalents at the end of the period		1,485	1,429

Restricted cash amounted to USD 2 million and USD 3 million at 30 June 2023 and 31 December 2022, respectively.

1. Background

(a) Organisation

United Company RUSAL, international public joint-stock company (United Company RUSAL Plc prior to 25 September 2020) (“UC RUSAL IPJSC”, the “Company” or “UC RUSAL”) was established by the controlling shareholder of RUSAL Limited (“RUSAL”) as a limited liability company under the laws of Jersey on 26 October 2006. On 27 January 2010, the Company successfully completed a placing on the Main Board of The Stock Exchange of Hong Kong Limited (“Hong Kong Stock Exchange”) and changed its legal form from a limited liability company to a public limited company.

On 23 March 2015, the shares of the Company were admitted to listing on PJSC Moscow Exchange MICEX-RTS (“Moscow Exchange”) in the First Level quotation list. The trading of shares on Moscow Exchange commenced on 30 March 2015. There was no issue of new shares.

The extraordinary general meeting of the Company held on 1 August 2019 approved the application by the Company to the regulatory authorities in Russia for continuance as a company with the status of an International Company established under the laws of Russia (the “Redomiciliation”). On 25 September 2020 UC RUSAL changed its domicile to the Russian Federation as UC RUSAL IPJSC.

The Company’s registered office is Oktyabrskaya st. 8, office 410, Kaliningrad, Kaliningrad Region, 236006, Russian Federation.

The Company directly or through its wholly owned subsidiaries controls a number of production and trading entities engaged in the aluminium business and other entities, which together with the Company are referred to as “the Group”.

The shareholding structure of the Company as at 30 June 2023 and 31 December 2022 was as follows:

	30 June 2023	31 December 2022
EN+ GROUP IPJSC (“EN+”, former En+ Group Plc)	56.88%	56.88%
SUAL PARTNERS ILLC (“SUAL PARTNERS”, formerly SUAL Partners Limited)	25.52%	25.52%
Mr. Oleg V. Deripaska	0.01%	0.01%
Publicly held	17.59%	17.59%
Total	100.00%	100.00%

At 30 June 2023 and 31 December 2022, the immediate parent of the Group was EN+ GROUP International public joint-stock company (EN+ GROUP IPJSC) with the registered office at Oktyabrskaya st. 8, office 34, Kaliningrad, Kaliningrad Region, 236006, Russian Federation.

Based on the information provided by EN+, at the reporting date there is no individual that has an indirect prevailing ownership interest in EN+ GROUP IPJSC exceeding 50%, who could exercise voting rights in respect of more than 35% of EN+ GROUP IPJSC’s issued share capital or has an opportunity to exercise control over EN+ GROUP IPJSC. As at 30 June 2023 and 31 December 2022, Mr. Oleg Deripaska beneficially controls and exercises voting rights in respect of 35% of the voting shares of EN+ GROUP IPJSC and cannot exceed his direct or indirect shareholding over 44.95% of the shares of the EN+ GROUP IPJSC.

In 2022 SUAL Partners Limited re-domiciled to Russian Federation and changed its’ name to SUAL PARTNERS International Limited Liability Company. Major ultimate beneficiaries of SUAL PARTNERS are Mr. Victor Vekselberg and Mr. Len Blavatnik.

Related party transactions are disclosed in Note 17.

The consolidated financial statements of the Group as at and for the year ended 31 December 2022 are available at the Company’s website www.rusal.com.

(b) Seasonality

There are no material seasonal events in business activity of the Group.

(c) Operations

The Group operates in the aluminium industry primarily in the Russian Federation, Guinea, Jamaica, Ireland, Italy and Sweden and is principally engaged in the mining and refining of bauxite and nepheline ore into alumina, the smelting of primary aluminium from alumina and the fabrication of aluminium and aluminium alloys into semi-fabricated and finished products. The Group sells its products primarily in Europe, Russia, other countries of the Commonwealth of Independent States (“CIS”), Asia and North America.

(d) Business environment in emerging economies

The Russian Federation, Jamaica and Guinea have been experiencing political and economic changes that have affected, and may continue to affect, the activities of enterprises operating in these environments. Consequently, operations in these countries involve risks that typically do not exist in other markets, including reconsideration of privatisation terms in certain countries where the Group operates following changes in governing political powers.

The imposition of economic sanctions on Russian individuals and legal entities by the European Union, the United States of America, Japan, Canada, Australia and others, as well as counter sanctions imposed by the Russian government, have resulted in increased economic uncertainty including more volatile equity, commodity and currency markets. The longer term effects of implemented sanctions, as well as the threat of additional future sanctions, are difficult to determine.

The consolidated interim condensed financial statements reflect management’s assessment of the impact of the Russian, Jamaican and Guinean business environments on the operations and the financial position of the Group. The future business environment may differ from management’s assessment.

(e) OFAC Sanctions

On 6 April 2018, the U.S. Department of the Treasury’s Office of Foreign Assets Control (“OFAC”) designated, amongst others, the Company, as a Specially Designated National (“SDN”) (the “OFAC Sanctions”).

As a result, all property or interests in property of the Company and its subsidiaries located in the United States or in the possession of U.S. Persons were blocked, must have been frozen, and could not be transferred, paid, exported, withdrawn, or otherwise dealt in. Several general licenses were issued at the time of the designation and later on authorizing certain transactions with the Company, its majority shareholder EN+GROUP IPJSC (“EN+”, former En+ Group Plc “En+”), and with their respective debt and equity.

On 27 January 2019, OFAC announced removal of the Company and En+ from OFAC’s SDN List with immediate effect. The removal was subject to and conditional upon the satisfaction of a number of conditions including, but not limited to, corporate governance changes, including, inter alia, overhauling the composition of the Board to ensure that independent directors constitute the majority of the Board, stepping down of the Chairman of the Board, and ongoing reporting and certifications by the Company to OFAC concerning compliance with the conditions for removal.

(f) Going concern

These consolidated interim condensed financial statements have been prepared assuming that the Group will continue as a going concern. Accordingly, these statements do not include any adjustments relating to the recoverability and classification of recorded asset amounts, the amounts and classification of liabilities or any other adjustments that might result from the Group being unable to continue as a going concern.

Ban of Australian government for the export of alumina and bauxite to Russia introduced in March 2022 and stoppage of production at Nikolaev Alumina Refinery Company Ltd due to developments in Ukraine starting from 1 March 2022 influenced the availability of alumina and bauxite or increase the purchase prices for the Group. Difficulties with logistics caused the Group to rebuild the supply and sales chains and lead to additional logistics costs. If the situation in Ukraine and overall geopolitical tension persists or continues to develop significantly, including the loss of significant parts of foreign markets, which cannot be reallocated to new markets, it may affect the Group’s business, financial condition, prospects and results of operations.

Potentially the Group may have difficulties with equipment deliveries that may postpone realization of some investment projects and modernization programs for existing production facilities.

The facts described above, as well as the volatility of commodity markets, stock, currency markets and interest rates, create material uncertainty in the Group's ability to meet its financial obligations on time and continue as a going concern entity. Management constantly evaluates the current situation and prepares forecasts taking into account different scenarios of the events and conditions development. The Group's management expects that prices on the world commodity markets will grow and improve the results of operating activities. The Group is also revising supply and sales chains, ensuring an optimal equity and debt ratio, searching for resolutions of logistic difficulties, as well as the ways to service its obligations in order to adapt the current economic changes to maintain the continuance of the Group's operations.

2. Basis of preparation

(a) Statement of compliance

These consolidated interim condensed financial statements for the six months ended 30 June 2023 have been prepared in accordance with IAS 34 *Interim Financial Reporting* and the disclosure requirements of the Hong Kong Companies Ordinance.

These consolidated interim condensed financial statements do not include all of the information required for full annual financial statements prepared in accordance with International Financial Reporting Standards and therefore should be read in conjunction with the consolidated financial statements of the Group as at and for the year ended 31 December 2022.

3. Significant accounting policies

The accounting policies adopted in the preparation of the interim condensed consolidated financial statements are consistent with those followed in the preparation of the Group's annual consolidated financial statements for the year ended 31 December 2022. The Group has not early adopted any standard, interpretation or amendment that has been issued but is not yet effective. Several amendments apply for the first time in 2023, but do not have an impact on the interim condensed consolidated financial statements of the Group and listed below:

- IFRS 17 *Insurance Contracts*;
- *Definition of Accounting Estimates* – Amendments to IAS 8;
- *Disclosure of Accounting Policies* – Amendments to IAS 1 and IFRS Practice Statement 2;
- *Deferred Tax related to Assets and Liabilities arising from a Single Transaction* – Amendments to IAS 12;
- *International tax reform – Pillar Two model rules* – Amendments to IAS 12.

4. Segment reporting

(a) Reportable segments

The Group has four reportable segments, as described below, which are the Group's strategic business units. These business units are managed separately and the results of their operations are reviewed by the CEO on a regular basis.

Aluminium. The Aluminium segment is involved in the production and sale of primary aluminium and related products.

Alumina. The Alumina segment is involved in the mining and refining of bauxite into alumina and the sale of alumina.

Energy. The Energy segment includes the Group companies and projects engaged in the mining and sale of coal and the generation and transmission of electricity produced from various sources. Where the generating facility is solely a part of an alumina or aluminium production facility it is included in the respective reportable segment.

Mining and Metals. The Mining and Metals segment includes the equity investment in PJSC MMC Norilsk Nickel (“Norilsk Nickel”).

Other operations include manufacturing of semi-finished products from primary aluminium for the transportation, packaging, building and construction, consumer goods and technology industries; and the activities of the Group’s administrative centres. None of these segments meet any of the quantitative thresholds for determining reportable segments.

The Aluminium and Alumina segments are vertically integrated whereby the Alumina segment supplies alumina to the Aluminium segment for further refining and smelting with limited sales of alumina outside the Group. Integration between the Aluminium, Alumina and Energy segments also includes shared servicing and distribution.

(b) Segment results, assets and liabilities

For the purposes of assessing segment performance and allocating resources between segments, the Group’s senior executive management monitor the results, assets and liabilities attributable to each reportable segment on the following bases:

Segment assets include all tangible, intangible assets and current assets with the exception of income tax assets and corporate assets. Segment liabilities include trade and other payables attributable to the production and sales activities of the individual segments. Loans and borrowings are not allocated to individual segments as they are centrally managed by the head office.

Revenue and expenses are allocated to the reportable segments with reference to sales generated by those segments and the expenses incurred by those segments or which otherwise arise from the depreciation or amortisation of assets attributable to those segments excluding impairment.

The measure used for reporting segment results is the profit before income tax adjusted for items not specifically attributed to individual segments, such as finance income, costs of loans and borrowings and other head office or corporate administration costs. The segment profit or loss is included in the internal management reports that are reviewed by the Group’s CEO. Segment profit or loss is used to measure performance as management believes that such information is the most relevant in evaluating the results of certain segments relative to other entities that operate within these industries.

In addition to receiving segment information concerning segment results, management is provided with segment information concerning revenue (including inter-segment revenue), the carrying value of investments and share of profits/(losses) of associates and joint ventures, depreciation, amortisation, impairment and additions of non-current segment assets used by the segments in their operations. Inter-segment pricing is determined on a consistent basis using market benchmarks.

Segment capital expenditure is the total cost incurred during the reporting period to acquire property, plant and equipment and investment property and intangible assets other than goodwill.

The Group acquired property, plant and equipment in the total amount of USD 437 million for the six months ended 30 June 2023 (USD 674 million for the six months ended 30 June 2022). The carrying amount of property, plant and equipment disposed during the six months ended 30 June 2023 comprised USD 332 million (USD 77 million for the six months ended 30 June 2022).

(i) Reportable segments

Six months ended 30 June 2023

	<u>Aluminium</u> <u>USD million</u>	<u>Alumina</u> <u>USD million</u>	<u>Energy</u> <u>USD million</u>	<u>Mining</u> <u>and Metals</u> <u>USD million</u>	<u>Total</u> <u>USD million</u>
Revenue from external customers	4,958	546	–	–	5,504
Inter-segment revenue	161	1,837	–	–	1,998
Total segment revenue	5,119	2,383	–	–	7,502
Segment EBITDA	322	36	–	–	358
Depreciation/amortisation	(181)	(56)	–	–	(237)
Share of profits of associates and joint ventures	–	–	91	212	303
Segment profit	141	(20)	91	212	424
(Impairment) / reversal of impairment of non-current assets	5	(57)	–	–	(52)
Non-cash income/(expense)	1	13	–	–	14
Capital expenditure	(267)	(95)	–	–	(362)
Non-cash adjustments to non-current segment assets related to site restoration	(2)	(3)	–	–	(5)

Six months ended 30 June 2022

	<u>Aluminium</u> <u>USD million</u>	<u>Alumina</u> <u>USD million</u>	<u>Energy</u> <u>USD million</u>	<u>Mining</u> <u>and Metals</u> <u>USD million</u>	<u>Total</u> <u>USD million</u>
Revenue from external customers	5,993	604	–	–	6,597
Inter-segment revenue	207	1,803	–	–	2,010
Total segment revenue	6,200	2,407	–	–	8,607
Segment EBITDA	2,096	(201)	–	–	1,895
Depreciation/amortisation	(180)	(54)	–	–	(234)
Share of profits of associates and joint ventures	–	–	49	1,317	1,366
Segment profit	1,916	(255)	49	1,317	3,027
(Impairment) / reversal of impairment of non-current assets	(13)	3	–	–	(10)
Non-cash income/(expense)	1	(212)	–	–	(211)
Capital expenditure	(299)	(116)	–	–	(415)
Non-cash adjustments to non-current segment assets related to site restoration	(4)	51	–	–	47

At 30 June 2023

	<u>Aluminium</u> <u>USD million</u>	<u>Alumina</u> <u>USD million</u>	<u>Energy</u> <u>USD million</u>	<u>Mining</u> <u>and Metals</u> <u>USD million</u>	<u>Total</u> <u>reportable</u> <u>segments</u> <u>USD million</u>
Segment assets	10,509	1,987	–	–	12,496
Interests in associates and joint ventures	–	–	833	3,734	4,567
Total segment assets					17,063
Segment liabilities	(772)	(564)	(16)	–	(1,352)
Total segment liabilities					(1,352)

31 December 2022

	<u>Aluminium</u> <u>USD million</u>	<u>Alumina</u> <u>USD million</u>	<u>Energy</u> <u>USD million</u>	<u>Mining</u> <u>and Metals</u> <u>USD million</u>	<u>Total</u> <u>reportable</u> <u>segments</u> <u>USD million</u>
Segment assets	11,110	2,230	–	–	13,340
Interests in associates and joint ventures	–	–	889	4,285	5,174
Total segment assets					18,514
Segment liabilities	(1,030)	(619)	(15)	–	(1,664)
Total segment liabilities					(1,664)

(ii) **Reconciliation of reportable segment revenue, profit or loss, assets and liabilities**

	<u>Six months ended 30 June</u>	
	<u>2023</u>	<u>2022</u>
	<u>USD million</u>	<u>USD million</u>
Revenue		
Reportable segments' revenue	7,502	8,607
Elimination of inter-segment revenue	(1,998)	(2,010)
Unallocated revenue	441	556
Consolidated revenue	5,945	7,153

	<u>Six months ended 30 June</u>	
	<u>2023</u>	<u>2022</u>
	<u>USD million</u>	<u>USD million</u>
Profit		
Reportable segments' profit	424	3,027
Impairment of non-current assets	(67)	(23)
Loss on disposal of property, plant and equipment	(5)	(5)
Finance income	269	206
Finance expenses	(270)	(740)
Unallocated expense	(82)	(101)
Consolidated profit before taxation	269	2,364

	Six months ended 30 June	
	2023	2022
	USD million	USD million
Adjusted EBITDA		
Reportable segments EBITDA	358	1,895
Unallocated depreciation	14	13
Unallocated expenses	(82)	(101)
Consolidated adjusted EBITDA	290	1,807
	30 June	31 December
	2023	2022
	USD million	USD million
Assets		
Reportable segment assets	17,063	18,514
Unallocated assets	4,362	6,117
Consolidated total assets	21,425	24,631
	30 June	31 December
	2023	2022
	USD million	USD million
Liabilities		
Reportable segment liabilities	(1,352)	(1,664)
Unallocated liabilities	(8,796)	(10,660)
Consolidated total liabilities	(10,148)	(12,324)

5. Revenue

	Six months ended 30 June	
	2023	2022
	USD million	USD million
Revenue from contracts with customers	5,945	7,153
Sales of products	5,798	6,971
Sales of primary aluminium and alloys	4,839	5,932
Sales of alumina and bauxite	286	305
Sales of foil and other aluminium products	279	286
Sales of other products	394	448
Provision of services	147	182
Supply of energy	110	147
Provision of transportation services	11	4
Provision of other services	26	31
Total revenue by types of customers	5,945	7,153
Third parties	5,489	6,632
Related parties – companies capable of exerting significant influence	146	97
Related parties – companies related through parent company	106	131
Related parties – associates and joint ventures	204	293
Total revenue by primary regions	5,945	7,153
Europe	1,870	2,866
CIS	1,968	2,103
America	95	501
Asia	1,978	1,616
Other	34	67

Revenue from sale of primary aluminium and alloys relates to aluminium segment (Note 4). Revenue from sales of alumina and bauxite relates to alumina segment. Revenue from sale of foil and other aluminium products and other products and services relates mostly to the revenue of non-reportable segments.

6. Cost of sales and operating expenses

(a) Cost of sales

	Six months ended 30 June	
	2023	2022
	USD million	USD million
Cost of alumina, bauxite and other materials	(2,648)	(2,644)
Third parties	(2,625)	(2,620)
Related parties – companies capable of exerting significant influence	(17)	(12)
Related parties – companies related through parent company	(6)	(5)
Related parties – associates and joint ventures	–	(7)
Purchases of primary aluminium	(388)	(568)
Third parties	(111)	(47)
Related parties – companies related through parent company	–	(2)
Related parties – associates and joint ventures	(277)	(519)
Energy costs	(1,298)	(1,183)
Third parties	(726)	(684)
Related parties – companies capable of exerting significant influence	(25)	(21)
Related parties – companies related through parent company	(525)	(456)
Related parties – associates and joint ventures	(22)	(22)
Personnel costs	(329)	(362)
Depreciation and amortisation	(237)	(234)
Change in finished goods	41	819
Other costs	(358)	(590)
Third parties	(349)	(551)
Related parties – companies related through parent company	(9)	(13)
Related parties – associates and joint ventures	–	(26)
	(5,217)	(4,762)

(b) Distribution, administrative and other operating expenses, provisions for expected credit losses and impairment of non-current assets

	Six months ended 30 June	
	2023	2022
	USD million	USD million
Transportation expenses	(282)	(227)
Personnel costs	(135)	(162)
Impairment of non-current assets	(67)	(23)
Consulting and legal expenses	(33)	(38)
Packaging materials	(27)	(23)
Security	(25)	(23)
Taxes other than on income	(24)	(25)
Charitable donations	(23)	(20)
Customs duties	(15)	(36)
Depreciation and amortisation	(14)	(13)
Repair and other services	(13)	(16)
Loss on disposal of property, plant and equipment	(5)	(5)
Short-term lease and variable lease payments	(3)	(4)
Auditors' remuneration	(2)	(3)
Provision for legal claims	(2)	–
Expected credit losses	5	(102)
Other expenses	(96)	(139)
	(761)	(859)

(c) EBITDA and operating effectiveness measures

Adjusted EBITDA is the key non-IFRS financial measure used by the Group as reference for assessing operating effectiveness.

	Six months ended 30 June	
	2023	2022
	USD million	USD million
Results from operating activities	(33)	1,532
Add:		
Amortisation and depreciation	251	247
Impairment of non-current assets	67	23
Loss on disposal of property, plant and equipment	5	5
Adjusted EBITDA	290	1,807

7. Finance income and expenses

	Six months ended 30 June	
	2023	2022
	USD million	USD million
Finance income		
Interest income on third party loans and deposits	30	42
Dividends from other investments	25	–
Net foreign exchange gain	214	–
Revaluation of investments measured at fair value through profit and loss, incl. forex income	–	164
	269	206
Finance expenses		
Interest expense on bank loans and bonds wholly repayable within 5 years	(210)	(150)
Interest expense on bank loans and bonds wholly repayable after 5 years	–	(20)
Net foreign exchange loss	–	(216)
Change in fair value of derivative financial instruments (refer to Note 15)	(40)	(348)
Interest expense on provisions	(7)	(4)
Revaluation of investments measured at fair value through profit and loss, incl. forex income	(12)	–
Leases interest costs	(1)	(2)
	(270)	(740)

8. Income tax

	Six months ended 30 June	
	2023	2022
	USD million	USD million
Current tax		
Current tax for the period	134	427
Deferred tax		
Origination and reversal of temporary differences	(285)	257
Income tax expense/(credit)	(151)	684

The Company is a tax resident of Russia with an applicable corporate tax rate of 20%, for dividend income of the Company tax rate is 0%. Subsidiaries pay income taxes in accordance with the legislative requirements of their respective tax jurisdictions. For subsidiaries domiciled in Russia, the applicable tax rate is 20%; Guinea of 0% to 35%; China of 25%; Kazakhstan of 20%; Australia of 30%; Jamaica of 25%; Ireland of 12.5%; Sweden of 20.6% and Italy of 26.9%. For the Group's subsidiaries domiciled in Switzerland the applicable tax rate for the period is the corporate income tax rate in the Canton of Zug, Switzerland, which may vary depending on the subsidiary's tax status. The rate consists of a federal income tax and cantonal/communal income and capital taxes. The latter includes a base rate and a multiplier, which may change from year to year. Applicable income tax rates are 9.07% and 11.82% for Swiss subsidiaries. For the Group's significant trading companies, the applicable tax rate is 0%. The applicable tax rates for the period ended 30 June 2022 were the same as for the period ended 30 June 2023 except for tax rates for subsidiaries domiciled in Switzerland which amounted to 9.08% and 11.85% accordingly, and for subsidiaries domiciled in Guinea of 0% to 30%. The applicable tax rates for the year ended 31 December 2022 were the same as for the period ended 30 June 2023 except for tax rates for subsidiaries domiciled in Switzerland which amounted to 9.06% and 11.8% accordingly, and for Italy which amounted to 27.9%.

9. Earnings per share

The calculation of basic earnings per share is based on profit attributable to ordinary equity shareholders for the six-months periods ended 30 June 2023 and 30 June 2022.

Weighted average number of shares:

	Six months ended 30 June	
	2023	2022
Issued ordinary shares at beginning of the period	15,193,014,862	15,193,014,862
Effect of treasury shares	—	—
Weighted average number of shares at end of the period	15,193,014,862	15,193,014,862
Profit for the period, USD million	420	1,680
Basic and diluted earnings per share, USD	0.0276	0.1106

There were no outstanding dilutive instruments during the periods ended 30 June 2023 and 30 June 2022.

No dividends were declared and paid during the periods presented.

10. Interests in associates and joint ventures

	Six months ended 30 June	
	2023	2022
	USD million	USD million
Balance at the beginning of the period	5,174	4,014
Group's share of profits	303	1,366
Dividends	—	(764)
Foreign currency translation	(910)	1,990
Balance at the end of the period	4,567	6,606
Goodwill included in interests in associates	2,029	2,691

Investment in Norilsk Nickel

The Group's share of profit of Norilsk Nickel was USD 212 million, the foreign currency translation loss of USD 763 million for the six months ended 30 June 2023. The carrying value of the Group's investment in the investee comprises USD 3,734 million as at 30 June 2023.

The market value of the investment in Norilsk Nickel as at 30 June 2023 was USD 6,836 million (31 December 2022: USD 8,775 million). The market value was determined by multiplying the quoted bid price per share on the Moscow Exchange on reporting date by the number of shares held by the Group.

11. Non-derivative financial and non-financial instruments

(a) Trade and other receivables

	30 June 2023	31 December 2022
	USD million	USD million
Trade receivables from third parties	952	1,067
Impairment loss on trade receivables	(78)	(75)
Net trade receivables from third parties	874	992
Trade receivables from related parties, including:	87	94
Related parties – companies capable of exerting significant influence	57	45
Related parties – companies related through parent company	20	48
Related parties – associates and joint ventures	10	1
Other receivables from third parties	159	211
Impairment loss on other receivables	(9)	(16)
Net other receivables from third parties	150	195
Other receivables from related parties, including:	5	5
Related parties – companies related through parent company	27	28
Impairment loss on other receivables from related parties – companies related through parent company	(22)	(23)
Net other receivables to related parties – companies related through parent company	5	5
	1,116	1,286

All of the trade and other receivables are expected to be settled within one year or are repayable on demand.

(i) Ageing analysis

Included in trade and other receivables are trade receivables (net of loss allowance for expected credit losses) with the following ageing analysis as of the reporting dates:

	30 June 2023	31 December 2022
	USD million	USD million
Current (not past due)	774	890
1-30 days past due	69	122
31-60 days past due	34	42
61-90 days past due	24	1
More than 90 days past due	60	31
Amounts past due	187	196
	961	1,086

Ageing analysis is performed based on number of days receivable is overdue. Trade receivables are on average due within 60 days from the date of billing. The receivables that are neither past due nor impaired (i.e. current) relate to a wide range of customers for whom there was no recent history of default.

Receivables that were past due but not impaired relate to a number of customers that have a good track record with the Group. The Group does not hold any collateral over these balances.

(ii) Impairment of trade receivables

Impairment losses in respect of trade receivables are recorded using an allowance account unless the Group is satisfied that recovery of the amount is remote, in which case the impairment loss is written off against trade receivables directly.

The movement in the allowance for expected credit loss during the period is as follows:

	Six months ended 30 June	
	2023	2022
	USD million	USD million
Balance at the beginning of the period	(75)	(18)
Impairment loss recognized	(3)	(55)
Balance at the end of the period	(78)	(73)

(b) Prepayments and input VAT

	30 June 2023	31 December 2022
	USD million	USD million
VAT recoverable	446	509
Impairment loss on VAT recoverable	(31)	(60)
Net VAT recoverable	415	449
Advances paid to third parties	199	297
Impairment loss on advances paid	(8)	(9)
Net advances paid to third parties	191	288
Advances paid to related parties, including:	19	2
Related parties – companies capable of exerting significant influence	1	–
Related parties – companies related through parent company	2	2
Related parties – associates and joint ventures	103	87
Impairment loss on advances paid from related parties – associates and joint ventures	(87)	(87)
Net advances paid to related parties – associates and joint ventures	16	–
Prepaid expenses	7	7
Prepaid other taxes	121	17
	753	763

(c) Trade and other payables

	30 June 2023	31 December 2022
	USD million	USD million
Accounts payable to third parties	700	865
Accounts payable to related parties, including:	117	175
Related parties – companies capable of exerting significant influence	5	6
Related parties – companies related through parent company	37	61
Related parties – associates and joint ventures	75	108
Other payables and accrued liabilities to third parties	197	224
Other payables and accrued liabilities to related parties, including:	2	3
Related parties – companies related through parent company	2	3
Current income tax liabilities	72	172
	1,088	1,439

All of the trade and other payables are expected to be settled within one year or are repayable on demand.

Included in trade and other payables are trade payables with the following ageing analysis as at the reporting date. Ageing analysis is performed based on number of days payable is overdue.

	30 June 2023	31 December 2022
	USD million	USD million
Current	707	906
Past due 0-90 days	75	99
Past due 91-120 days	2	2
Past due over 120 days	33	33
Amounts past due	110	134
	817	1,040

Lease liabilities that are expected to be settled within one year for the amount of USD 16 million are included in other payables and accrued liabilities as at 30 June 2023 (31 December 2022: USD 21 million).

(d) Advances received

	30 June 2023	31 December 2022
	USD million	USD million
Advances received	115	223
Advances received from related parties, including:	20	14
Related parties – companies related through parent company	1	1
Related parties – associates and joint ventures	19	13
	135	237

Advances received represent contract liabilities to perform obligations under contracts with customers. Advances received are short-term and revenue in respect of the contract liabilities recognized as at the reporting date is fully recognized during next twelve months.

(e) Other non-current assets

	30 June 2023	31 December 2022
	USD million	USD million
Long-term deposits	121	121
Other non-current assets	122	181
	243	302

(f) Investments in equity securities measured at fair value through profit or loss

During the six months ended 30 June 2023 the Group continued to acquire equity securities of RusHydro, 434,666,000 shares were bought for a total consideration USD 5 million, at the 30 June 2023 the Group's investment amounted to 42,754,785,466 shares or effective 9.7% (nominal 9.6%) of RusHydro. Investment is treated as equity securities measured at fair value through profit or loss.

Fair value is estimated in accordance with Level 1 of the fair value hierarchy. The market value was determined by multiplying the quoted bid price per share on the Moscow Exchange on reporting date by the number of shares held by the Group.

(g) Short-term investments

Primarily consist of short-term bank deposits and promissory notes of the company under common control.

(h) Fair value measurement

Management believes that the fair values of financial assets and liabilities approximate their carrying amounts.

12. Equity

(a) Share capital

	Six months ended 30 June 2023		Six months ended 30 June 2022	
	USD	Number of shares	USD	Number of shares
Ordinary shares at the end of the period, authorised	200 million	20 billion	200 million	20 billion
Ordinary shares at 1 January	151,930,148	15,193,014,862	151,930,148	15,193,014,862
Ordinary shares at the end of the period of USD 0.01 each, issued and paid	151,930,148	15,193,014,862	151,930,148	15,193,014,862

(b) Other reserves

Other reserves include the amounts related to: effect of transaction of reorganization under common control, cumulative unrealised actuarial gains and losses on the Group's defined post retirement benefit plans, the effective portion of the accumulative net change in fair value of cash flow hedges and the Group's share of other comprehensive income of associates.

(c) Distributions

Following Company's redomiciliation in September 2020 (Note 1(a)), the Company may distribute dividends from retained earnings and profit for the reporting period in compliance with the current legislation of the Russian Federation and the provisions of its Charter.

(d) Currency translation reserve

The currency translation reserve comprises all foreign exchange differences arising from the translation of the consolidated financial statements of foreign subsidiaries and equity accounted investees.

13. Loans and borrowings

This note provides information about the contractual terms of the Group's loans and borrowings.

	30 June 2023	31 December 2022
	USD million	USD million
Non-current liabilities		
Secured bank loans	2,203	2,876
Unsecured bank loans	1,144	815
Bonds	3,152	3,219
	6,499	6,910
Current liabilities		
Secured bank loans	689	745
Unsecured bank loans	445	385
Bonds	108	1,348
Accrued interest	35	69
	1,277	2,547

(a) Loans and borrowings

As at 30 June 2023 and 31 December 2022, the secured bank loans are secured by certain pledges of shares of a number of Group subsidiaries, 25% + 1 share of Norilsk Nickel (Group's associate) and property, plant and equipment with a carrying amount of USD 4 million.

As at 30 June 2023 and 31 December 2022, rights, including all monies and claims, arising out of certain sales contracts between the Group's trading subsidiaries and its ultimate customers, were assigned to secure the syndicated Pre-Export Finance Term Facility Agreements (PXF's) dated 25 October 2019 and dated 28 January 2021.

The nominal value of the Group's loans and borrowings was USD 4,538 million as at 30 June 2023 (31 December 2022: USD 4,883 million).

In February 2023, RUSAL entered into a new credit facility with a Russian bank in the total amount up to USD 4.4 billion and maturity – 24 December 2027. On 3 February 2023 the funds in the amount of 15.8 billion Chinese yuan were partially drawdown with an interest rate 4.75% and were used to refinance the principal outstanding under the existing debt with a Russian bank.

As at 30 June 2023, the amount of accrued interest on unsecured bank loans and secured bank loans was USD 4 million and USD 9 million, respectively (31 December 2022: USD 4 million and USD 17 million, respectively).

(b) Bonds

As at 30 June 2023 the Group had outstanding (traded in the market) bonds nominated in roubles, Chinese yuan, eurobonds nominated in US dollars.

Type	Series	The number of bonds traded in the market	Nominal value, USD million	Nominal interest rate	Put-option date	Maturity date
Bond	BO-01	30,263	–	0.01%	–	07.04.2026
Bond	BO-001P-01	3,490,970	40	9.50%	25.10.2023	16.04.2029
Eurobond	–	40,089	40	5.3%	–	03.05.2023
Eurobond	–	28,180	28	4.85%	–	01.02.2023
Bond	BO-05	2,000,000	276	3.90%	05.08.2024	28.07.2027
Bond	BO-06	2,000,000	276	3.90%	05.08.2024	28.07.2027
Bond	BO-001P-01	6,000,000	826	3.75%	–	24.04.2025
Bond	BO-001P-02	1,000,000	138	3.95%	–	23.12.2025
Bond	BO-001P-03	3,000,000	416	LPR1Y + 0.2%	–	24.12.2025
Bond	001PC-01	2,379,660	328	3.75%	–	07.03.2025
Bond	001PC-02	2,352,869	324	3.75%	–	07.03.2025
Bond	001PC-03	2,367,763	326	3.75%	–	07.03.2025
Bond	001PC-04	1,778,060	245	3.75%	–	07.03.2025

On 23 January 2023 the exchange-traded non-convertible interest-bearing RUB denominated bonds of RUSAL Bratsk series BO-001P-02 were fully repaid.

On 8 February 2023 pursuant to the Extraordinary resolution of the noteholders Rusal redeemed the Eurobond with a coupon 4.85% to noteholders who hold Eurobond through National Settlement Depository ("NSD") and other Russian custodians being the NSD direct participants in the amount of USD 418 million. The redemption to noteholders who hold Eurobond through foreign clearing and settlement systems will be made in accordance with terms of the Extraordinary resolution of the noteholders.

On 16 May 2023 pursuant to the Extraordinary resolution of the noteholders Rusal redeemed the Eurobond with a coupon 5.3% to noteholders who hold Eurobond through NSD and other Russian custodians being the NSD direct participants in the amount of USD 419 million. The redemption to noteholders who hold Eurobond through foreign clearing and settlement systems will be made in accordance with terms of the Extraordinary resolution of the noteholders.

On 6 June 2023 the exchange-traded non-convertible interest-bearing RUB denominated bonds of RUSAL Bratsk series BO-002P-01 were fully repaid.

As at 30 June 2023, the amount of accrued interest on bonds was USD 22 million (31 December 2022: USD 48 million).

Total foreign exchange loss on bonds for the six months ended 30 June 2023 accounted in other comprehensive income as part of cash flow hedge result amounted to USD nil (loss USD 255 million for the six months ended 30 June 2022).

14. Provisions

USD million	Pension liabilities	Site restoration	Provisions for legal claims	Total
Balance at 1 January 2022	66	444	13	523
Provisions made during the period	4	—	—	4
Provisions reversed during the period	—	—	—	—
Provisions utilised during the period	(2)	—	—	(2)
Foreign currency translation	18	47	—	65
The effect of the passage of time	—	—	—	—
Change in inflation rate	—	4	—	4
Discount rate change	—	(69)	—	(69)
Balance at 30 June 2022	86	426	13	525
Non-current	82	299	—	381
Current	4	127	13	144
Balance at 1 January 2023	60	331	12	403
Provisions made during the period	5	—	2	7
Provisions reversed during the period	(5)	—	—	(5)
Actuarial loss	5	—	—	5
Provisions utilised during the period	(2)	—	(2)	(4)
Foreign currency translation	(9)	(32)	—	(41)
The effect of the passage of time	—	5	—	5
Change in inflation rate	—	7	—	7
Discount rate change	—	1	—	1
Balance at 30 June 2023	54	312	12	378
Non-current	49	212	—	261
Current	5	100	12	117

15. Derivative financial assets/liabilities

	30 June 2023		31 December 2022	
	USD million		USD million	
	Derivative assets	Derivative liabilities	Derivative assets	Derivative liabilities
Forward contracts for aluminium and other instruments	92	—	168	—
Total	92	—	168	—
Non-current	56	—	90	—
Current	36	—	78	—

Derivative financial instruments are recorded at their fair value at each reporting date. Fair value is estimated in accordance with Level 3 of the fair value hierarchy based on management estimates and consensus economic forecasts of relevant future prices, net of valuation allowances to accommodate liquidity, modelling and other risks implicit in such estimates. The Group's policy is to recognise transfers between levels of fair value hierarchy as at the date of the event or change in circumstances that caused the transfer. There were no changes in valuation techniques during six-month period ended 30 June 2023.

The movement in the balance of Level 3 fair value measurements of derivatives is as follows:

	Six months ended 30 June	
	2023	2022
	USD million	USD million
Balance at the beginning of the period	168	(64)
Unrealised changes in fair value recognised in the consolidated interim condensed statement of income (finance income/(expense)) during the period	(40)	(348)
Unrealised changes in fair value recognised in other comprehensive income (cash flow hedge) during the period	–	(214)
Realised portion of metals, electricity and cross currency swaps	(36)	872
Balance at the end of the period	92	246

Sensitivity analysis showed that derivative financial instruments are not particularly sensitive to changes in main inputs.

16. Commitments and contingencies

(a) Capital commitments

The Group has entered into contracts that result in contractual obligations primarily relating to various construction and capital repair works. The commitments as at 30 June 2023 and 31 December 2022 were approximately USD 365 million and USD 376 million, including VAT, respectively. These commitments are due over a number of years.

(b) Taxation

Russian tax, currency and customs legislation is subject to varying interpretations, and changes, which can occur frequently. Management's interpretation of such legislation as applied to the transactions and activities of the Group may be challenged by the relevant local, regional and federal authorities. Notably recent developments in the Russian environment suggest that the authorities in that country are becoming more active in seeking to enforce, through the Russian court system, interpretations of the tax legislation, in particular in relation to the use of certain commercial trading structures, which may be selective for particular tax payers and different to the authorities' previous interpretations or practices. Different and selective interpretations of tax regulations by various government authorities and inconsistent enforcement create further uncertainties in the taxation environment in the Russian Federation.

(c) Environmental contingencies

The Group and its predecessor entities have operated in the Russian Federation, Jamaica, Guyana, the Republic of Guinea and the European Union for many years and certain environmental problems have developed. Governmental authorities are continually considering environmental regulations and their enforcement and the Group periodically evaluates its obligations related thereto. As obligations are determined, they are recognised immediately. The outcome of environmental liabilities under proposed or any future legislation, or as a result of stricter enforcement of existing legislation, cannot reasonably be estimated. Under current levels of enforcement of existing legislation, management believes there are no possible liabilities, which will have a material adverse effect on the financial position or the operating results of the Group. However, the Group anticipates undertaking significant capital projects to improve its future environmental performance and to bring it into full compliance with current legislation.

(d) Legal contingencies

The Group's business activities expose it to a variety of lawsuits and claims which are monitored, assessed and contested on the ongoing basis. Where management believes that a lawsuit or another claim would result in the outflow of the economic benefits for the Group, a best estimate of such outflow is included in provisions in the consolidated interim condensed financial statements (refer to Note 14). As at 30 June 2023 the amount of claims, where management assesses outflow as possible approximates USD 33 million (31 December 2022: USD 33 million).

17. Related party transactions

(a) Transactions with management

Management remuneration

Key management received the following remuneration, which is included in personnel costs:

	Six months ended 30 June	
	2023	2022
	USD million	USD million
Salaries and bonuses	29	52
	29	52

(b) Transactions with associates and joint ventures

Sales to associates and joint ventures are disclosed in Note 5, purchases from associates and joint ventures are disclosed in Note 6, accounts receivable from associates and joint ventures as well as accounts payable to associates and joint ventures are disclosed in Note 11.

(c) Transactions with other related parties

The Group transacts with other related parties, the majority of which are companies related through parent company or under the control of SUAL Partners Limited or shareholders jointly controlling the entity.

Sales to related parties for the period are disclosed in Note 5, purchases from related parties are disclosed in Note 6, finance income and expenses with related parties are disclosed in Note 7, accounts receivable from related parties as well as accounts payable to related parties are disclosed in Note 11.

(d) Related parties balances

As at 30 June 2023 and 31 December 2022, there are no non-current assets represented by balances of related parties. As at 30 June 2023, non-current liabilities include balances of related parties – associates and joint ventures of USD 16 million (31 December 2022: USD 16 million).

As at 30 June 2023, current assets include balances of related parties – companies related through parent company of USD 50 million (31 December 2022: companies related through parent company of USD 50 million).

(e) Pricing policies

Prices for transactions with related parties are determined on a case by case basis but are not necessarily at arm's length.

The Group has entered into three categories of related-party transactions: (i) those entered into on an arm's length basis, (ii) those entered into on non-arm's length terms but as part of a wider deal resulting from arms' length negotiations with unrelated third parties, and (iii) transactions unique to the Group and the counterparty.

18. Events subsequent to the reporting date

There were no significant events subsequent to the reporting date.